

Coca-Cola

Port in a Storm: 1Q25 Preview

The Coca-Cola Company (KO, Overweight rated) is scheduled to report 1Q25 earnings results on Tuesday, April 29, before the market open. We are lowering our 1Q25/2025 estimates slightly, primarily reflecting a moderating consumption environment in the U.S., largely offset by USD softening. Our 1Q25 EPS moves to \$0.70 (from \$0.72), our 2025 EPS is unchanged at \$2.96 vs. current consensus \$0.72/\$2.96, and our 1Q25/2025 organic sales growth (OSG) moves to +5.6%/+5.8% (from +6.0%/+6.5%) vs. Consensus Metrix +5.3%/5.7%. From a stock narrative perspective, while KO is not immune to tariffs and macro headwinds, it is a relatively more defensive stock that will likely deliver among the highest OSG in our coverage universe in 2025. While KO is a crowded long stock, we believe it can continue to work for the reasons we highlight below.

- All-Weather Strategy Makes KO a “Port in a Storm.”** KO has demonstrated over the past 5 years its top-tier ability to navigate dynamic operating environments across the globe and continue to deliver on top-/bottom-line commitments. The company’s broad geographic reach (the U.S. represents only ~17% of systemwide volumes) means that oftentimes softness in a particular market can be offset by stronger-than-expected performance in others, and the company can adjust/emphasize price/pack offerings in order to serve consumer needs for affordability and/or premiumization. All of this is supported by multi-year investments behind marketing, innovation, and commercial execution. Since CEO Quincey’s first full year leading the company in 2018, KO has generated a 7-year OSG CAGR of +7.7%, including +1.8% unit case volume and USD EPS CAGR of +6% despite FX headwind CAGR of -6% (i.e., currency-neutral EPS growth CAGR +12% since 2018). Our Dec-25 target price moves to \$78 (from \$74) based on a 24.2x P/E (LDD% premium to MNC peers and more in line with other high quality blue chips like OW-rated PG and CL), which represents 6% upside potential over the next ~9 months, plus a ~3% dividend yield. We believe KO can sustain its relative premium to peers given its defensive nature, geographic diversification, limited direct tariff impact, and ability to navigate dynamic operating environments.

Overweight

KO, KO US

Price (17 Apr 25):\$73.00

▲ **Price Target (Dec-25):\$78.00**

Prior (Dec-25):\$74.00

Beverage, Household & Personal Care Products

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J.P. Morgan Securities LLC

Key Changes (FYE Dec)

	Prev	Cur
Revenue - 25E (\$ mn)	48,201	48,353
Revenue - 26E (\$ mn)	50,538	50,834
Adj. EPS - 26E (\$)	3.21	3.23

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2024A	2025E	2026E
Q1	0.72	0.70	0.75
Q2	0.84	0.85	0.93
Q3	0.77	0.81	0.88
Q4	0.55	0.60	0.66
FY	2.88	2.96	3.23

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	88	85	79	85	88
Growth	97	82	70	13	14
Momentum	30	30	53	29	37
Quality	20	23	12	9	27
Low Vol	1	1	1	7	5
ESGQ	80	19	34	34	3

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	17.2%	4.1%	16.4%	24.8%
Rel	27.4%	11.0%	28.3%	19.6%

Company Data

Shares O/S (mn)	4,321
52-week range (\$)	73.95-58.10
Market cap (\$ mn)	315,433.00
Exchange rate	1.00
Free float (%)	81.7%
3M ADV (mn)	19.03
3M ADV (\$ mn)	1,305.8
Volatility (90 Day)	21
Index	S&P 500
BBG ANR (Buy Hold Sell)	29 2 1

Key Metrics (FYE Dec)

\$ in millions	FY24A	FY25E	FY26E
Financial Estimates			
Revenue	46,897	48,353	50,834
Adj. EBITDA	15,160	16,242	17,417
Adj. EBIT	14,085	15,029	16,065
Adj. net income	12,463	12,784	13,881
Adj. EPS	2.88	2.96	3.23
BBG EPS	2.85	2.96	3.19
Cashflow from operations	6,805	5,804	14,867
FCFF	4,741	3,570	12,520
Margins and Growth			
Revenue Growth Y/Y (%)	2.4%	3.1%	5.1%
Total Organic Sales Growth (%)	-	-	-
Gross margin	61.1%	61.3%	61.5%
EBITDA margin	32.3%	33.6%	34.3%
EBITDA Growth Y/Y (%)	4.8%	7.1%	7.2%
EBIT margin	30.0%	31.1%	31.6%
Net margin	26.6%	26.4%	27.3%
Adj. EPS growth	7.2%	2.8%	8.8%
Ratios			
Net debt/EBITDA	2.1	2.3	2.0
ROIC	-	-	-
ROE	49.1%	55.8%	60.3%
Valuation			
FCFF yield	1.5%	1.1%	4.0%
Dividend yield	2.7%	2.8%	3.0%
EV/Revenue	6.9	6.8	6.4
EV/EBITDA	21.4	20.4	18.8
Adj. P/E	25.3	24.6	22.6

Summary Investment Thesis and Valuation

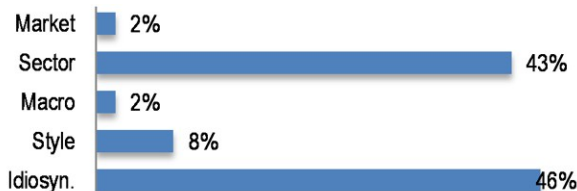
Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising, and consolidating bottling assets globally, setting up new systems and procurement in the U.S., shifting focus from volume to value growth, and transitioning senior management. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2025 price target is \$78, based on 24.2x P/E (~LDD% premium to MNC peers and more in line with high-quality peers PG and CL) on our 2026 estimates, as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop should sustain KO's relative valuation premium and more than offset concerns around GLP-1 and potential tax liability. Our \$78 price target implies ~6% upside potential in the next approximately 8.5 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in the current valuation, creating favorable risk/reward.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.18	0.13
Sect: Cons Staples	0.68	0.67
Ind: Food Bev & Tobacco	0.77	0.77
Macro:		
US 10yr yield	-0.33	-0.20
US Dollar	-0.31	-0.15
Economic Surprise	-0.28	-0.14
Quant Styles:		
DivYld	0.55	0.50
Momentum	-0.44	-0.41
LowVol	0.35	0.41

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- 1Q25 Expectations.** We are lowering our 1Q25 EPS estimate a penny to \$0.70, which is \$0.02 below the current Bloomberg consensus estimate. We are lowering our 1Q25 OSG estimate (concentrate shipment basis) to +5.6% (from +6.0%), which compares to Consensus Metrix +5.3%, as we lower our OSG estimates to reflect some slowing consumption environment in the U.S. and impact of a later Easter. Our 1Q25 top-line estimates are slightly below CM on concentrate shipments (JPMe -0.6% vs. CM -0.3%) but slightly above CM on price/mix (JPMe +6.2% vs. CM +5.6%). We model unit case volumes +1.0%, which is slightly ahead of CM +0.6%. Recall, the company had two fewer calendar days in 1Q25, which is a headwind to concentrate shipments. We are 56 bps behind the Street on margins (EBIT margin JPM 32.5% vs. consensus 33.0%), with our gross margin 30 bps ahead (JPMe 62.3% vs. consensus 62.0%) and our operating expenses 86 bps heavier (JPMe 29.8% vs. consensus 28.9%). We believe spending tends to track closer to unit case performance relative to shipments, which may be part of the delta between JPMe and consensus on operating expense ratio.

Table 1: KO 1Q25E and 2025E Estimates - JPMe vs. Consensus

\$ m, except per share values

	1Q25E		Y/Y	JPMe	2024E		Y/Y	JPMe
Income Statement	JPMe	Consensus	%	vs. cons	JPMe	Consensus	%	vs. cons
Net Sales	11,177.4	11,155.9	-0.5%	0.2%	48,353.2	47,997.6	3.1%	0.7%
Gross Profit	6,960.6	6,913.5	-0.5%	0.7%	29,628.2	29,377.4	3.4%	0.9%
Operating Income	3,628.8	3,684.2	-0.4%	-1.5%	15,029.5	14,865.0	6.7%	1.1%
Interest, Net	206.5	213.9	45.4%	-3.5%	1000.4	922.6	44.4%	8.4%
Net Income	3,020.6	3,093.2	-3.2%	-2.3%	12,784.1	12,724.3	2.6%	0.5%
Shares Outstanding	4,315.0	4,315.4	-0.2%	0.0%	4,312.0	4,309.7	-0.2%	0.1%
EPS	\$0.70	\$0.72	-3.0%	-2.9%	\$2.96	\$2.96	2.8%	0.2%
	1Q25E		bps	JPMe	2024E		Y/Y	JPMe
Growth/Margins	JPMe	Consensus	bps	vs. cons	JPMe	Consensus	bps	vs. cons
Sales Growth	-0.5%	-0.7%	(296)	19	3.1%	2.3%	67	76
Gross Margin	62.3%	62.0%	(0)	30	61.3%	61.2%	20	7
SG&A Margin	29.8%	28.9%	(3)	86	30.2%	30.2%	(85)	(4)
Operating Profit Margin	32.5%	33.0%	3	(56)	31.1%	31.0%	105	11
Tax Rate	20.8%	20.7%	179	11	20.8%	20.8%	220	3

Source: Bloomberg Finance L.P., Consensus Metrix and J.P. Morgan estimates.

Table 2: KO 1Q25E Top-Line Drivers - JPMe vs. Consensus

1Q25E				2025E			
Revenue Build	JPMe	Consensus	vs. cons (bps)	Revenue Build	JPMe	Consensus	vs. cons (bps)
Organic Revenue	5.6%	5.3%	32	Organic Revenue	5.8%	5.7%	15
EMEA	6.0%	5.6%	40	EMEA	6.6%	5.9%	67
Latin America	12.5%	10.9%	160	Latin America	10.2%	10.0%	19
North America	4.0%	4.1%	(10)	North America	3.1%	4.8%	(171)
Asia-Pacific	-1.0%	2.7%	(370)	Asia-Pacific	4.8%	4.7%	13
Global Ventures	--	3.7%	--	Global Ventures	--	4.4%	--
BIG	0.0%	3.1%	(310)	BIG	4.5%	5.2%	(70)
Unit Case Volume	1.0%	0.6%	39	Unit Case Volume	1.2%	1.3%	(11)
EMEA	0.0%	0.1%	(10)	EMEA	1.1%	1.1%	2
Latin America	-0.5%	0.3%	(80)	Latin America	1.0%	1.5%	(47)
North America	-1.0%	-0.6%	(40)	North America	-1.0%	0.4%	(140)
Asia-Pacific	6.0%	2.7%	330	Asia-Pacific	3.6%	2.3%	126
Global Ventures	--	2.5%	--	Global Ventures	--	3.3%	--
BIG	-15.0%	-5.6%	(940)	BIG	-1.5%	-1.3%	(25)
Concentrate Sales	-0.6%	-0.3%	(28)	Concentrate Sales	1.0%	1.3%	(26)
EMEA	-2.0%	-1.0%	(100)	EMEA	1.0%	1.3%	(27)
Latin America	-2.5%	-0.9%	(160)	Latin America	0.8%	1.4%	(59)
North America	-3.0%	-2.2%	(80)	North America	-1.3%	0.6%	(193)
Asia-Pacific	4.0%	1.4%	260	Asia-Pacific	3.1%	2.4%	70
Global Ventures	--	2.5%	--	Global Ventures	--	3.3%	--
BIG	-2.0%	1.5%	(350)	BIG	2.5%	2.9%	(40)
Price/Mix	6.2%	5.6%	60	Price/Mix	4.8%	4.4%	41
EMEA	8.0%	6.2%	180	EMEA	5.5%	4.7%	84
Latin America	15.0%	11.4%	360	Latin America	9.4%	8.5%	87
North America	7.0%	6.1%	90	North America	4.4%	4.2%	21
Asia-Pacific	-5.0%	1.1%	(610)	Asia-Pacific	1.7%	2.3%	(57)
Global Ventures	--	1.0%	--	Global Ventures	--	1.1%	--
BIG	2.0%	2.6%	(60)	BIG	2.0%	2.7%	(70)
FX	-4.0%	-3.9%	(15)	FX	-2.0%	-3.1%	106
M&A/Other	-2.4%	-2.2%	(23)	M&A/Other	-0.6%	-0.5%	(8)

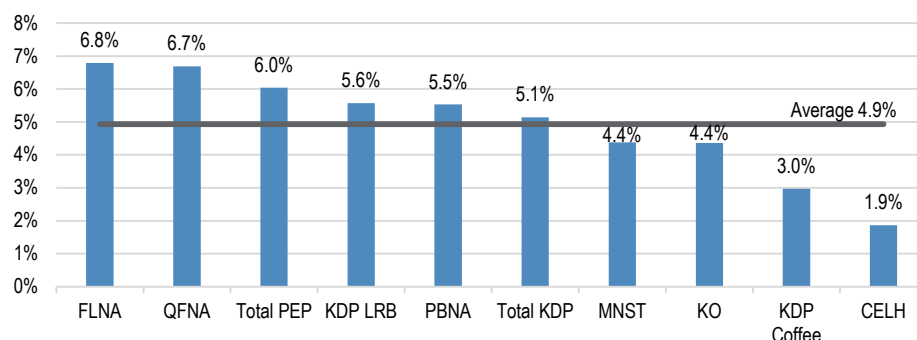
Source: Consensus Metrix and J.P. Morgan estimates. Note: JPMe organic = unit case volume + price/mix; Consensus organic = concentrate sales + price/mix

- Limited Direct and Indirect Tariff Impacts, Appear to Be Manageable.** From a tariff perspective, we see the most material direct tariff impact as being from juice given that it is a finished goods business. Our understanding is that KO sources juice both internationally and locally. Imports from Brazil (largest juice exporter) are set to be tariffed at 10%, while imports from Mexico that fall under USMCA are currently exempt. In NielsenIQ tracked channels, fruit juice represented ~4.5% of KO's L52W 3/22/25 sales. There could also be some impact from imports of coffee, although this is a much smaller part of the portfolio (<1% of tracked channel revenue). Given 25% tariffs on steel and aluminum, there has been some concern about the market-level impact in the U.S. if bottlers have to take pricing to offset cost inflation, although more recently aluminum+Midwest premium is running up ~MSD% YOY (-12% off recent highs) and YTD average prices are +mid-20s%. The company helps bottlers manage through the impacts through its cross-enterprise procurement team and also can emphasize different package types if there is cost pressure on aluminum (e.g., more emphasis on PET). Net-net, management doesn't see a potential impact from aluminum cost inflation to derail its outlook and that given the size of exposure, it is a manageable issue.
- SNAP Exposure a Bit More Moderate vs. Peers – Seems Likely to Be State-by-State Decision.** While the possibility of restricting SNAP benefits usage on sodas has been on the table since Robert F. Kennedy Jr. was first nominated for HHS Secretary in mid-November 2024, on March 28 Mr. Kennedy announced that the

Department of Health & Human Services would grant states the waivers necessary to ban soda from SNAP benefits. New reports suggest that Mr. Kennedy is discussing these proposals with more than 15 governors, and several states have already asked for waivers or have bills moving through state government to ban SNAP benefits being used on soda and other perceived unhealthy items (e.g., chips, candy). We view the risk as manageable given that this is likely to be a state-by-state decision and the company has a strong track record of offering affordable price points in order to retain consumers. We note that, according to Euromonitor data, among the liquid refreshment beverages portions of KO (OW), PEP (N), and KDP (OW) portfolios, CSDs, energy drinks, teas, and sports drinks account for ~76%, ~85%, and ~88% of sales and reduced sugar options among these categories represented ~29%, ~22%, and ~15% of sales, respectively. For MNST (N), reduced sugar energy drinks represent ~41% of sales and for CELH (OW), reduced sugar energy drinks represent 100% of sales. PRMB (OW) could be a relative beneficiary given its ~100% exposure to bottled water.

Figure 1: Share of Projected Sales When SNAP Benefits Used on a Shopping Trip

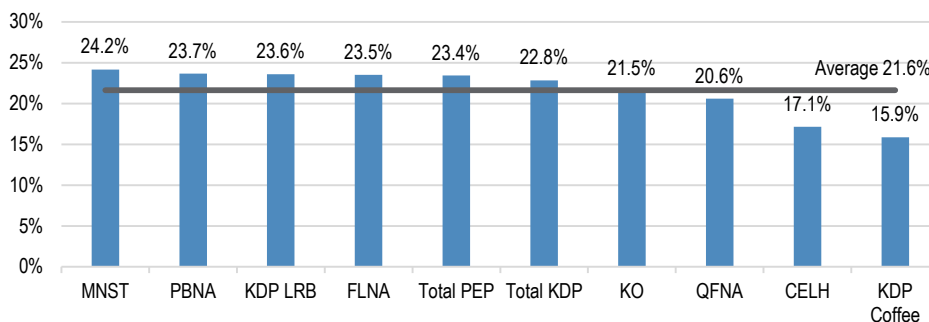
L52W 3/16/25



Source: Numerator.

Figure 2: Share of Projected Sales for Low Income (Under \$40K) Shoppers

L52W 3/16/25



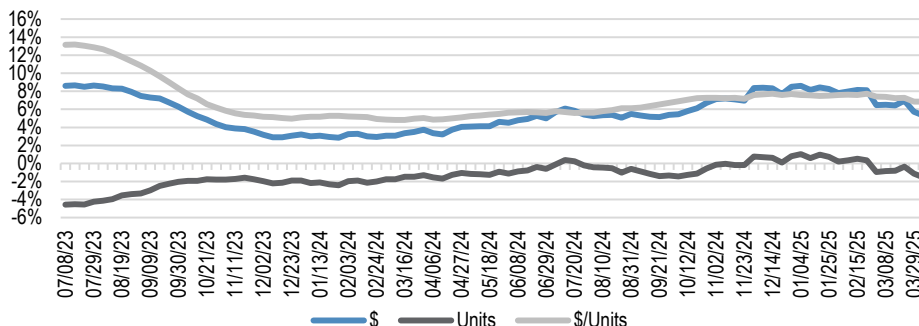
Source: Numerator.

- Tracked Channel Data Slows Sequentially to +MSD% With Deceleration in Both Units and Price/Mix – CSDs Decelerated, Fairlife Remains Very Strong.** In the U.S. NielsenIQ tracked channels (FMV+C), total KO dollar/unit takeaway in L13W 3/29/25 (covers most of KO's 1Q25) was +5.7%/-1.1%, which decelerated -280 bps/-190 bps from +8.5%/+0.8% L13W 12/28/24. Price/mix per unit of +6.9% decelerated -70 bps from +7.6% L13W 12/28/24. On a 2Y stack basis, KO dollar/

unit takeaway L13W 3/29/25 +9.5%/-2.4% decelerated -220 bps/-130 bps from +11.7%/-1.1% L13W 12/28/24. Most of KO's key categories decelerated sequentially. In CSDs, KO dollar/volume L13W 3/29/25 +2.7%/-2.2% was -390 bps/-330 bps from +6.7%/+1.1% L13W 12/28/24 and in L13W 3/29/25 KO underperformed the category (category ex-KO L13W 3/29/25 dollar/volume +7.1%/+2.4%). Within CSDs, we note that brand Coke appears to have decelerated meaningfully during the quarter, while brand Pepsi accelerated, which may be due in part to social media-led boycotts. Fairlife (milk, shakes) accelerated slightly sequentially, posting impressive growth, with L13W 3/22/25 dollar/units +49.9%/+35.6% from +48.3%/+31.5% L12W 12/28/24. Within fairlife's growth, milk grew +35.9% L13W 3/29/25 (vs. +34.4% L13W 12/28/24) and shakes grew +63.7% L13W 3/29/25 (vs. +62.7% L13W 12/28/24).

Figure 3: KO Takeaway +5.7% L13W 3/29/25 Decelerated -280 bps Sequentially

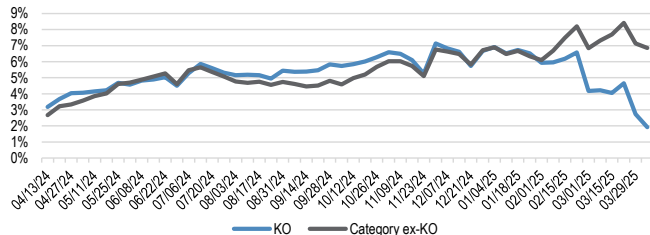
Rolling 13-Week \$ YoY



Source: NielsenIQ.

Figure 4: KO CSDs +2.7% L13W 3/29/25 Decelerated -390 bps Sequentially

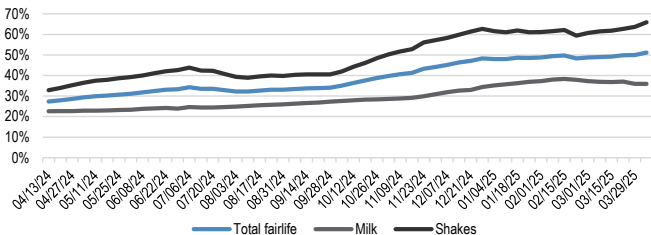
Rolling 13-Week \$ YoY



Source: NielsenIQ.

Figure 5: KO's fairlife +49.9% L13W 3/29/25 Accelerated +170 bps Sequentially

Rolling 13-Week \$ YoY



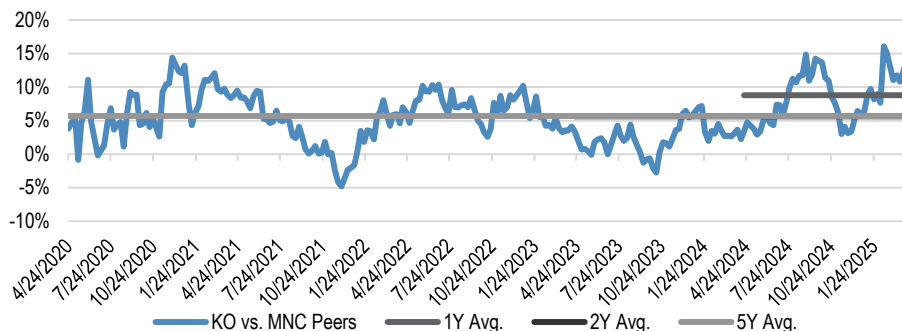
Source: NielsenIQ.

- **Relative Valuation Subject to Macro/Flows but Could Continue to Outperform If Current Situation Persists.** KO's position as a relative safe haven has made shares an outperformer within Staples and the broader market. While Staples performance will be highly dependent on the macro and tariff situation, if the current environment continues, we believe KO will continue to outperform peers and the broader market. With outperformance YTD (KO +17.6% vs. SPX -9.6%), KO is now trading at a mid-20s% premium to the SPX, up from a -4% discount to start the year. That said, this is only slightly ahead of the 10-year average premium KO has seen vs. SPX, and over the past 10 years KO has traded as high as a mid-50s% premium to SPX (July 2022 - during tech sell-off). Relative to peers, KO is trading

at a mid-teens premium to multinational Staples, which is above longer-term averages (1Y/2Y/5Y +8%/+5%/+6%), although we could see premium sustaining/expanding given KO's asset-lite business model that typically performs well in environments with modest inflation and softening USD.

Figure 6: KO at +16% Premium vs. MNC Peers, +1,030 bps Since End of 2024, Above LT Averages

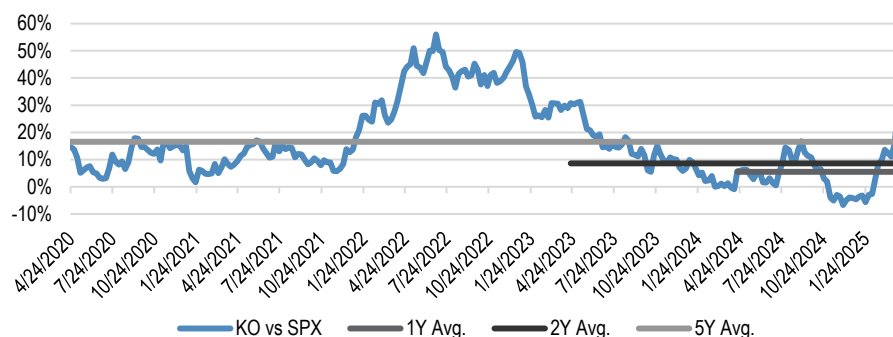
KO NTM P/E Relative Premium/Discount vs. Large Cap Multinational Peers (PEP, CL, PG, KVUE, KMB, HSY, MDLZ, K, ULVR, NESN)



Source: Bloomberg Finance L.P.

Figure 7: KO at +26% Premium to SPX, +3,000 bps Since End of 2024; Premium Reached Mid-50s% in 2022 Tech Rout

KO NTM P/E Relative Premium/Discount vs. SPX



Source: Bloomberg Finance L.P.

- **Conference Call Details.** Date: Tuesday, April 29; estimated release time: 6:55AM ET; conference call details: time: 8:30AM ET, dial-in: 1-888-415-4465, passcode: 6819315

Investment Thesis, Valuation and Risks

Coca-Cola (Overweight; Price Target: \$78.00)

Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising and consolidating bottling assets globally, setting up new systems and procurement in the U.S., shifting focus from volume to value growth, and transitioning senior management, all of which give us confidence in the underlying fundamentals of the business. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2025 price target is \$78, based on 24.2x P/E (~LDD% premium to MNC peers and more in line with high-quality peers PG and CL) on our 2026 estimates, as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop should sustain KO's relative valuation premium and more than offset concerns around GLP-1 and potential tax liability. Our \$78 price target implies ~6% upside potential in the next approximately 8.5 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in the current valuation, creating favorable risk/reward.

Risks to Rating and Price Target

Downside risks to our Overweight rating and price target include (1) economic weakness leading to material pressure in the away-from-home channel; (2) uncertainty around potential impact of GLP-1 drugs on demand longer term; (3) margin de-leverage because of inflationary headwinds and/or volume losses; and (4) increasingly unfavorable FX movements – all of which could drive further negative earnings revisions.

Coca-Cola: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY23A	FY24A	FY25E	FY26E	FY27E		1Q25E	2Q25E	3Q25E	4Q25E	
Revenue	45,784	46,897	48,353	50,834	-	Revenue	11,177	12,740	12,438	11,998	
COGS	(18,465)	(18,254)	(18,725)	(19,582)	-	COGS	(4,217)	(4,888)	(4,807)	(4,813)	
Gross profit	27,319	28,643	29,628	31,252	-	Gross profit	6,961	7,852	7,631	7,185	
SG&A	(13,983)	(14,558)	(14,599)	(15,187)	-	SG&A	(3,332)	(3,563)	(3,591)	(4,112)	
Adj. EBITDA	14,464	15,160	16,242	17,417	-	Adj. EBITDA	3,926	4,594	4,342	3,379	
D&A	(1,128)	(1,075)	(1,212)	(1,351)	-	D&A	(297)	(306)	(303)	(307)	
Adj. EBIT	13,336	14,085	15,029	16,065	-	Adj. EBIT	3,629	4,288	4,040	3,073	
Net Interest	(645)	(693)	(1,000)	(838)	-	Net Interest	(206)	(309)	(263)	(222)	
Adj. PBT	14,403	15,333	16,139	17,498	-	Adj. PBT	3,818	4,593	4,425	3,303	
Tax	(2,737)	(2,852)	(3,357)	(3,640)	-	Tax	(794)	(955)	(920)	(687)	
Minority Interest	11	(18)	2	22	-	Minority Interest	(3)	15	3	(13)	
Adj. Net Income	11,677	12,463	12,784	13,881	-	Adj. Net Income	3,021	3,653	3,508	2,603	
Reported EPS	2.69	2.88	2.96	3.23	-	Reported EPS	0.70	0.85	0.81	0.60	
Adj. EPS	2.69	2.88	2.96	3.23	-	Adj. EPS	0.70	0.85	0.81	0.60	
DPS	1.83	1.93	2.05	2.17	-	DPS	0.51	0.51	0.51	0.51	
Payout ratio	68.1%	67.1%	69.2%	67.4%	-	Payout ratio	73.2%	60.5%	63.0%	84.8%	
Shares outstanding	4,339	4,320	4,312	4,304	-	Shares outstanding	4,315	4,313	4,311	4,309	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Cash and cash equivalents	9,366	10,828	5,118	4,846	-	Gross margin	59.7%	61.1%	61.3%	61.5%	-
Accounts receivable	3,410	3,569	4,149	4,479	-	EBITDA margin	31.6%	32.3%	33.6%	34.3%	-
Inventories	4,424	4,728	4,919	5,176	-	EBIT margin	29.1%	30.0%	31.1%	31.6%	-
Other current assets	9,532	6,872	7,051	7,242	-	Net profit margin	25.5%	26.6%	26.4%	27.3%	-
Current assets	26,732	25,997	21,238	21,742	-	ROE	46.7%	49.1%	55.8%	60.3%	-
PP&E	9,236	10,303	11,325	12,320	-	ROA	12.3%	12.6%	13.0%	14.2%	-
LT investments	118	44	44	44	-	ROCE	16.8%	17.0%	17.8%	19.5%	-
Other non current assets	61,617	64,205	64,205	64,205	-	SG&A/Sales	30.5%	31.0%	30.2%	29.9%	-
Total assets	97,703	100,549	96,812	98,312	-	Net debt/equity	1.1	1.2	1.7	1.3	-
Short term borrowings	4,557	1,499	1,499	1,499	-	P/E (x)	27.1	25.3	24.6	22.6	-
Payables	15,485	21,715	21,801	22,696	-	P/BV (x)	12.2	12.7	15.0	12.5	-
Other short term liabilities	3,529	2,035	2,107	1,624	-	EV/EBITDA (x)	22.2	21.4	20.4	18.8	-
Current liabilities	23,571	25,249	25,407	25,819	-	Dividend Yield	2.5%	2.7%	2.8%	3.0%	-
Long-term debt	35,547	42,375	42,375	39,375	-	Sales/Assets (x)	0.5	0.5	0.5	0.5	-
Other long term liabilities	11,105	6,553	6,553	6,553	-	Interest cover (x)	22.4	21.9	16.2	20.8	-
Total liabilities	70,223	74,177	74,335	71,747	-	Operating leverage	126.2%	231.0%	215.9%	134.3%	-
Shareholders' equity	25,941	24,856	20,961	25,048	-	Revenue y/y Growth	6.4%	2.4%	3.1%	5.1%	-
Minority interests	1,539	1,516	1,516	1,516	-	EBITDA y/y Growth	6.3%	4.8%	7.1%	7.2%	-
Total liabilities & equity	97,703	100,549	96,812	98,312	-	Tax rate	19.0%	18.6%	20.8%	20.8%	-
BVPS	5.98	5.75	4.86	5.82	-	Adj. Net Income y/y Growth	8.1%	6.7%	2.6%	8.6%	-
y/y Growth	7.9%	(3.8%)	(15.5%)	19.7%	-	EPS y/y Growth	8.4%	7.2%	2.8%	8.8%	-
Net debt/(cash)	29,701	31,674	37,384	34,656	-	DPS y/y Growth	4.7%	5.6%	6.0%	6.0%	-
Cash flow from operating activities	11,599	6,805	5,804	14,867	-						
o/w Depreciation & amortization	1,128	1,075	1,212	1,351	-						
o/w Changes in working capital	(846)	(6,234)	(864)	118	-						
Cash flow from investing activities	(3,349)	2,524	(2,235)	(2,347)	-						
o/w Capital expenditure	(1,852)	(2,064)	(2,235)	(2,347)	-						
as % of sales	4.0%	4.4%	4.6%	4.6%	-						
Cash flow from financing activities	(8,310)	(6,910)	(9,280)	(12,793)	-						
o/w Dividends paid	(7,952)	(8,359)	(8,845)	(9,358)	-						
o/w Net debt issued/(repaid)	1,857	2,528	0	(3,000)	-						
Net change in cash	(133)	1,796	(5,710)	(272)	-						
Adj. Free cash flow to firm	9,747	4,741	3,570	12,520	-						
y/y Growth	2.2%	(51.4%)	(24.7%)	250.7%	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
22-Apr-22	OW	66.21	73
20-Jul-22	OW	62.53	70
21-Oct-22	OW	55.08	63
26-Oct-22	OW	58.95	64
17-Jan-23	OW	61.43	67
17-Apr-23	OW	63.05	68
14-Jul-23	OW	60.35	67
27-Jul-23	OW	63.05	71
16-Oct-23	OW	52.89	59
24-Oct-23	OW	54.08	62
31-Jan-24	OW	59.90	64
14-Feb-24	OW	59.35	66
19-Apr-24	OW	58.91	65
01-May-24	OW	61.77	68
10-Jul-24	OW	62.69	72
30-Sep-24	OW	71.79	78
23-Oct-24	OW	69.45	75
28-Jan-25	OW	63.87	70
11-Feb-25	OW	64.55	74

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